

Multiple Choice

1. **Answer:** E

Options: A) Unions determine labor productivity; B) Unions can directly control employment rates nationally; C) Unions are the primary drivers of economic growth and thereby increase labor demand; D) Unions can significantly increase labor demand; E) Unions have limited means to influence the demand for labor

Note: Correct option: E - Unions have limited means to influence the demand for labor

2. **Answer:** A

Options: A) decreased government spending and increased taxes.; B) the federal government to decrease the money supply.; C) the federal government to run a deficit.; D) decreased taxes and increased government spending.; E) the federal government to increase the money supply.

Note: Correct option: A - decreased government spending and increased taxes.

3. **Answer:** A

Options: A) If both the demand and supply curves are price inelastic; B) If the demand curve is perfectly elastic and the supply curve is perfectly inelastic; C) If the demand curve is price inelastic and the supply curve is price elastic; D) If both the demand and supply curves are price elastic; E) If the demand curve is price elastic and the supply curve is price inelastic

Note: Correct option: A - If both the demand and supply curves are price inelastic

4. **Answer:** E

Options: A) the cost of all produced units; B) the fixed cost associated with the production facility; C) the cost of total production; D) the cost of initial unit of production; E) the additional cost of one more unit of production

Note: Correct option: E - the additional cost of one more unit of production

5. **Answer:** D

Options: A) Very few competitors.; B) One firm sets the market price.; C) Identical products offered by each firm.; D) Excess capacity.; E) Significant barriers to entry.

Note: Correct option: D - Excess capacity.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: Actual answer is ' $\hat{y}_t = \hat{\alpha} + \hat{\beta}x_t^2 + \hat{u}_t$ '.

7. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'initially upward sloping and then downward sloping'.
8. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'The pooled cross-sectional model'.
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** 8. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** They are not theoretically motivated. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key